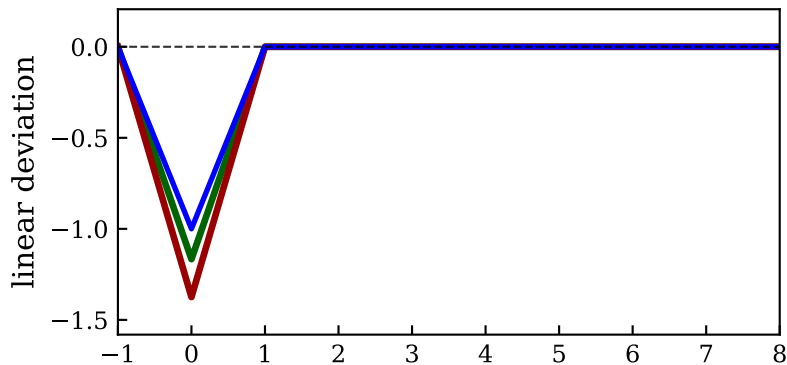
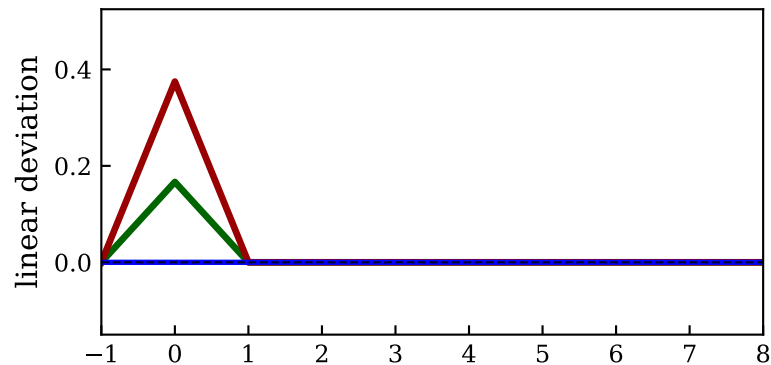
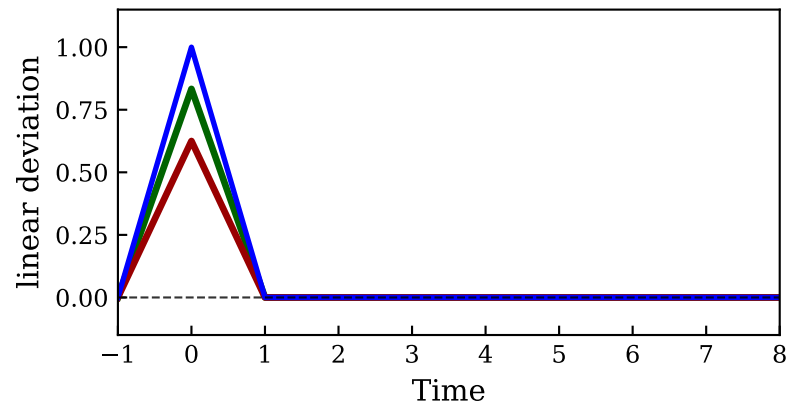
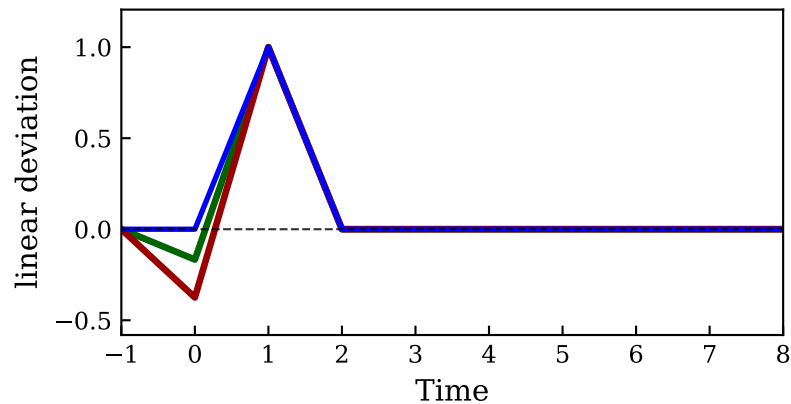


Output y_t Unemployment u_t Inflation π_t Wage inflation π_t^W 

— Taylor rule — Optimal policy, $\kappa = 0.5$ — Optimal policy, $\kappa = 0$